

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-16

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO., LTD.,

RESPONDENT.

**SAMSUNG ELECTRONICS AMERICA, INC.'S RESPONSE TO THE PRESIDING
OFFICER'S ORDER REQUIRING ADDITIONAL INFORMATION**

I. INTRODUCTION

Pursuant to Your Honor's June 30, 2026 Order (Dkt. 133), Complainant Samsung Electronics America, Inc. ("SEA") respectfully submits this statement addressing (1) Respondent COSCO Shipping Lines Co., Ltd.'s ("COSCO") offer to resolve SEA's Supplemental Motion to Compel, filed on June 10, 2026, Dkt. 123 ("Motion"), (2) a description of SEA's remaining discovery disputes, and (3) the information SEA requires to proceed with depositions.

II. BACKGROUND

SEA has filed three motions to compel. SEA's First Motion to Compel (Dkt. 95) generally addresses COSCO's failure to produce foreign-based documents and ESI data. SEA's Second Motion to Compel (Dkt. 112) addresses U.S.-based deficiencies. And following SEA's review of a production of China-based documents from COSCO, SEA filed a Supplement to its first Motion to Compel ("Motion") (Dkt. 123), identifying continuing deficiencies with respect to production of China-based documents.

On June 16, 2026, COSCO filed its Opposition to SEA's Supplemental Motion ("Opposition"), disputing every deficiency by broadly asserting a lack of relevance, burden and proportionality, without engaging with the particular deficiencies identified. Dkt. 130. The Opposition also references (and attaches as Exhibit 1) COSCO's offer to purportedly resolve the Motion made on June 16, 2026, and SEA's email later that day in response to the offer. Dkt. 130, Ex. 1.

To date, COSCO has failed to substantively respond to SEA's June 16 email, despite SEA's June 18 follow-up request that it do so. Instead, on June 22, COSCO responded that SEA should "digest COSCO's memorandum and supporting declarations," which SEA has done and which does not change SEA's position. No further correspondence has occurred on these issues and the parties remain at an impasse.

III. SEA's RESPONSES

A. COSCO's Offer, SEA's Position on the Offer, and the Insufficiency of the Offer

i. *COSCO's Offer*

COSCO's "offer", as set forth in its June 16, 2026 email (attached as Exhibit 1 to COSCO's Opposition at Dkt. 130), proposes to resolve the China-based documents Motion by offering "1) COSCO's agreement to voluntarily add Zhao RuiBo and Shan Yin as custodians, and 2) SEA's dismissal of its supplemental motion." COSCO's offer (sent at 10:41 AM) set a 5:00 PM deadline that same day for SEA to respond to the offer. COSCO's offer (which by its terms was open for barely more than 6 hours), is that COSCO would agree to produce additional responsive documents from just two China-based custodians in exchange for complete dismissal of SEA's supplemental motion to compel (a motion that is supplemental in detail to, but not substantively additive of, the deficiencies identified in SEA's first motion to compel on China-based documents).

ii. *SEA's Position on COSCO's Offer and its Insufficiency*

COSCO's offer materially fails to address the deficiencies with COSCO's China-based document production, fails to resolve the issues raised in the first motion or the supplemental motion, and furthermore, was made only subject to SEA agreeing to dismiss the entirety of SEA's motion. As explained below in response to the insufficiency of the offer, dismissal of numerous material discovery deficiencies in exchange for a patently inadequate offer of searching two additional custodians is so one-sided and so unserious that it strains credulity to even consider it a legitimate "offer."

iii. *The Insufficiency of the Offer*

First, as to COSCO's offer to produce documents from two additional custodians (Zhao RuiBo and Shan Yin, both from Shanghai's American Trade Division ("ATD")), COSCO's offer

is totally inadequate and reflects a classic discovery run-around that abuses SEA's attempts to cooperatively pursue discovery.

SEA was proactive in its attempt to prevent this exact scenario by explicitly requesting (via interrogatories) the identity of China and Korea-based *individuals* with: "responsibility for, oversight of, or decision-making authority . . ." *See* Motion, Ex. C at 3–4 (COSCO's Response to SEA's Fourth Interrogatories). Rather than abide by its discovery obligations, COSCO intentionally obfuscated the identity of specific individuals by vaguely identifying four divisions (COSCO's Shanghai's American Trade Division, Global Sales Division, and U.S. Operations and COSCO Shipping Korea Co., Ltd.'s Global Sales Division), leaving SEA to attempt to determine the identity of COSCO's custodians—which is COSCO's burden. *Id.* Instead of engaging with SEA, COSCO engaged in serial obfuscation resulting in the motions and ending most recently with the "offer."

As shown in the correspondence of May 21, 2026 to May 26, 2006 (COSCO Opp., Dkt. 130, Ex. 1), on May 21, 2026, SEA explained that its "ability to identify witnesses based in China/Cosco HQ is limited by the lack of initial disclosure of any current China-based/HQ employees and the scope of the China-based document production to date." Nevertheless, in an effort to prepare for depositions, SEA asked COSCO to provide information on ten specifically identified individuals.

SEA's May 26, 2026, follow up raised the ongoing China-based document deficiencies, and the insufficiency of the partial production from only three China-based custodians—Liu Gang, Liu Shuang, and Tang Wei. COSCO's response was to ask SEA which COSCO China-based custodians COSCO should have searched. SEA responded the same day, explicitly stating that "it is COSCO's obligation to identify potentially knowledgeable witnesses and to conduct appropriate

searches of, and produce relevant documents from, such persons.” Nevertheless, again in an attempt to start getting at least *some* information from COSCO, SEA provided a preliminary short list of four persons whose files should, at a minimum, have been searched (a list that SEA provided expressly without limitation of COSCO’s independent obligation to identify knowledgeable witnesses and conduct appropriate searches thereof for responsive documents).

Thus, as to custodians, COSCO’s “offer” of searching just two of those persons is seeking to categorically limit its additional China-based discovery to just two persons from the ATD division: no additional custodians from the remaining short list of four in the Global Sales Division or U.S. Operations or from the Shanghai Per Diem Team; nothing from any of the other persons in the list of ten potential witnesses provided on May 21, 2026; and all without COSCO explaining or confirming that it actually performed its foundational obligation to conduct an adequate search on its own of the potentially knowledgeable China-based witnesses in response to either its initial disclosure obligations or in response to its obligations to respond to SEA’s discovery requests.

SEA does not even know whether COSCO’s searches encompassed the personnel, departments, and functions that COSCO itself identifies as having responsibility for the assessment, invoicing, dispute resolution, and waiver of detention and demurrage (“D&D”) charges, nor who has actual policy and decision making responsibility in key areas. These are foundational obligations which should have been undertaken back in August 2025 when the initial production of documents was to occur (an obligation SEA met and COSCO did not – as COSCO held its China-based document production until April 8, 2026, and only after SEA’s initial motion to compel dated February 11, 2026.) But it certainly does not seem that COSCO’s searches have been adequate, given that COSCO represented that it only searched the documents of the three China-based persons that were custodians in its small initial China documents production.

Despite COSCO's stated production efforts to date regarding custodians and document counts outside of China (Dkt. 130 at 3), the fact remains that only *2,700 China-based documents* from **only three custodial sources at COSCO's China headquarters have been produced in this case**. The responsibility to identify and search appropriate custodians belongs to COSCO, therefore, whether SEA identified every relevant individual is beside the point. After conducting an exceedingly limited search of its China-based personnel, COSCO's offer and its contention that only approximately 2,700 responsive documents exist and that any further efforts would be disproportionate, is unacceptable. COSCO offers no adequate basis for that conclusion and its position reflects a fundamental misunderstanding of its discovery obligations. Even COSCO's four declarations submitted with its response to the Motion identify individuals and business units beyond those included in COSCO's custodial search, indicating that relevant sources of information remain unsearched.¹ The failure to adequately search knowledgeable sources and witnesses, or to even explain why other potential custodians and departments identified by SEA in the Motion *and by COSCO* need not be searched, renders its offer insufficient to resolve the Motion.

Second, as to the balance of the deficiencies identified in the motions, including failure to produce entire categories of foundational documents,² the offer of two additional custodians does

¹ The Opposition relies on arguments concerning relevance, burden and proportionality, together with declarations that provide additional information on the limited the scope of COSCO's search. For example, Lu Guanlin states that ATD was responsible for reviewing customer billing disputes and determining whether D&D charges would be waived, reduced, or adjusted, while SHAPD implemented those decisions. Xiang Ling states that she was responsible for Samsung Electronics Co., Ltd. and related corporate accounts. *See* Dkt. 130 at Exs. 2–3. These declarations identify individuals and departments with direct involvement in the matters at issue **who were not included among COSCO's custodians, searched, or encompassed within COSCO's proposed offer**.

² For the sake of brevity and to avoid re-argument of the Motions, SEA respectfully refers the Presiding Officer to the Motion at 4–9 for a recitation of these deficiencies.

not substantively address those deficiencies. Furthermore, because the offer was contingent on wholesale dismissal of the Motion on China-based documents, the offer would constitute a complete waiver of COSCO's discovery obligations on those issues. This too renders its offer insufficient to resolve the Motion.

B. COSCO Discovery Requests Remaining Outstanding

In addition to the insufficiency of the scope of the custodial searches and production, the categories of responsive foundational documents raised in SEA's motions to compel remain missing from COSCO's production. These documents must be provided for the parties to end the discovery impasse.

Policies and procedures. D&D policies and procedures in effect during the relevant period are needed, as COSCO has produced only *current* versions from some U.S. divisions. And policies and procedures remain missing from the very China-based divisions controlling U.S.-bound trade (ATD and GSD) that COSCO's communications show direct U.S. pricing, D&D policy, and waiver decisions. COSCO provides no explanation as to why those documents and identifying individuals involved in corporate governance and oversight of U.S.-based operations relating to D&D matters are missing. *See* Motion at 4–7 for a list of all such missing categories. These documents are essential for SEA to proceed to the deposition phase.

D&D Business Reports and Assessments. COSCO has not produced several categories of documents directly relevant to its assessment, collection, waiver, and resolution of D&D charges. *See* Dkt. 112 at 8–9. These materials bear directly on whether COSCO maintained and enforced “just and reasonable” regulations and practices under § 41102(c). Among the materials not produced are: (1) business-performance assessments used to evaluate departments and subsidiaries, including any consideration of D&D collections and waivers; and (2) the “Demurrage

Index Assessment Memorandum-GSD”. These documents are necessary to understand the policies, performance metrics, and operational considerations that informed COSCO’s D&D practices during the period at issue and are necessary for meaningful deposition preparation.

Shipment Data. COSCO has not produced complete shipment-level data from its IRIS4 and IDDS systems. *See* Dkt. 112 at 6–7. Instead, it has produced limited data extracts, including a spreadsheet that omits certain shipments and data fields. Missing information includes discharge dates, free-time calculations, charge-rate information, tariff references, invoice data, internal reason codes, chassis data, and diversion-request information. *See id.* at 7–8. COSCO’s own documents indicate that this information is maintained within its operational systems and is capable of export. SEA is not asking COSCO to create new data. SEA seeks only the export of information already maintained in COSCO’s operational systems. Without complete shipment-level data, SEA cannot marshal the evidence or meaningfully examine witnesses regarding the basis for charges assessed on individual shipments.

Critical Source Documents. COSCO’s production of source documents remains incomplete. These are foundational documents involved in all D&D charges issued against SEA; invoices, job orders, and sea waybills have been produced for only a subset of the shipments at issue. *See* Dkt. 112 at 2–4. COSCO has also limited its production to invoices it issued directly, excluding invoices from its direct subcontractors - rail carriers, truckers, terminals, and other subcontractors involved in transporting SEA cargo. Those documents are relevant to the charges that form the basis of SEA's claims and are necessary for deposition preparation and SEA’s proof of its claims.

Rail Documentation and Subcontractor Agreements. More than \$5.2 million of SEA’s claimed D&D charges relate to rail storage and demurrage. COSCO acknowledges contracting

directly with rail carriers but has not produced the agreements, communications, or financial records underlying those charges. *See* Dkt. 112 at 4–6. COSCO’s production includes only 148 rail-carrier emails despite its direct rail contracts and the volume of shipments at issue. COSCO has not produced any rail carrier agreements (other than applicable tariffs), trucking contracts, equipment agreements, or complete terminal agreements. *See id.* at 9. Without these materials, SEA cannot depose COSCO witnesses about the basis for charges that COSCO passed through to SEA or the contractual frameworks governing those charges needed to present the case to the ALJ.

C. What SEA Needs to Proceed with Depositions

Adequate Searches of Relevant Documents and Production

- Production of documents from additional custodians reasonably likely to possess responsive information concerning assessment, invoicing, collection, dispute resolution, waiver of D&D charges, and policies and procedures on assessment and collections, including at a minimum, Zhang Chunyi, Zhao RuiBo, Shan Yin, Deng Xiaobin and Xiang Ling, who were not included in COSCO’s custodial searches.
- A sworn declaration from COSCO describing its complete search methodology: all custodians considered and selected, all systems searched, all search terms applied, and date ranges used—similar to the order issued in *SEA v. OOCL*, Dkt. No. 24-17. This is the only way that the Presiding Officer, and SEA, can ensure the discovery steps that should have been taken long ago are undertaken now so that a proper record before the FMC is ensured.

Relevant Policies and Procedures

- All internal policies and procedures governing D&D assessment, collection, waiver, and dispute resolution—including versions in effect during the relevant time period.
- Business performance self-assessments and evaluation criteria for GSD, ATD, and SHAPD.
- The “Demurrage Index Assessment Memorandum – GSD” and all documents relating to it.

D&D Business Reports and Assessments.

- Production of divisional policies, procedures, and performance assessment documents from GSD and ATD, including the “Demurrage Index Assessment Memorandum-GSD.”

EDI/Database Records

- Comprehensive EDI/database exports from COSCO’s IRIS4 and IDDS systems for all SEA shipments at issue, including all relevant data fields (vessel discharge dates, free time calculations, charge rates, tariff references, reason codes, chassis data, and diversion request data).
- Identification of all systems in which COSCO maintains shipment-level data for SEA cargo, and confirmation that all such systems have been searched.

Critical Source Documents

- Complete invoices for all shipments at issue, including invoices issued by subcontractors (railroads, truckers, terminals) for D&D charges on SEA cargo.
- Job orders for all 6,443 shipments at issue.
- Sea waybills for all remaining shipments where they have not been produced.

Rail Documentation and Subcontractor Agreements

- All agreements between COSCO and Class 1 railroads (e.g., BNSF, Union Pacific, Norfolk Southern) governing the transportation or storage of SEA cargo during the relevant period.
- Communications and financial records between COSCO and rail carriers related to SEA shipments, including invoices, charge disputes, and rate negotiations.
- Complete trucking, chassis supply, and terminal agreements applicable to D&D charges for SEA cargo.

IV. CONCLUSION

SEA respectfully requests that the Presiding Officer grant its motions to compel.

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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